

Company Overview

Abbott India Ltd is one of the leading multinational pharmaceutical companies in India and sells its products through independent distributors primarily within India.

Key Financial Ratios Table

| Year | NPM % | ROE % | D/E  | Interest Coverage | Asset Turnover | FCF (Cr) |
|------|-------|-------|------|-------------------|----------------|----------|
| 2024 | 20.5% | 32.5% | 0.02 | 141.8             | 1.13           | 797.0    |
| 2023 | 17.7% | 29.8% | 0.04 | 85.0              | 1.17           | 745.0    |
| 2022 | 16.3% | 28.3% | 0.05 | 61.3              | 1.16           | 552.0    |
| 2021 | 16.0% | 26.6% | 0.06 | 55.7              | 1.12           | 655.0    |
| 2020 | 14.5% | 24.4% | 0.07 | 96.8              | 1.15           | 225.0    |
| 2019 | 12.2% | 22.4% | 0.00 | 359.0             | 1.25           | 242.0    |
| 2018 | 12.2% | 23.7% | 0.00 | 160.5             | 1.37           | -62.0    |
| 2017 | 9.5%  | 20.0% | 0.00 | 227.5             | 1.41           | 152.0    |
| 2016 | 9.8%  | 21.3% | 0.00 | 138.3             | 1.62           | 172.0    |
| 2015 | 10.0% | 24.4% | 0.00 | nan               | 1.67           | 28.0     |

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## Qualitative Investment Insights

### Strengths (Pros):

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Net profit compounding at above 20% over 5 years creates significant shareholder value

### Risks & Concerns (Cons):

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility